

EFG Engineers Limited
Statement of Financial Position
as at 30 June, 2024

Particulars	Notes	Amount in BDT	
		30 June, 2024	30 June, 2023
<u>Property & Assets</u>			
Non-current assets		30,133	35,038
Property, plant & equipment	2.73	30,133	35,038
Current assets		2,661,006	914,451
Calls in arrear		606,661	606,661
Inventories	4.00	284,384	-
Advance, deposit and prepayment	5.00	964,853	205,253
Cash & cash equivalents	6.00	805,109	102,538
Total property & assets		2,691,139	949,489
<u>Capital & liabilities</u>			
Shareholders' Equity		688,166	632,972
Share capital	7.00	1,000,000	1,000,000
Retained earnings	8.00	(311,834)	(367,028)
Current liabilities		2,002,973	316,517
Accounts & other Trade Payable - Vendor A	9.00	69,014	268,118
Bank Loan CC		1,878,140	-
Provision for expenses	10.00	55,819	48,398
Total capital & liabilities		2,691,139	949,489

The accounting policies and other notes form an integral part of the financial statements.

Chairman

Managing Director

This is the Statement of Financial Position referred to in our report of even date.

EFG Engineers Limited
Statement of Profit or Loss and Other Comprehensive Income
for the year ended 30 June 2024

Particulars	Notes	Amounts in BDT	
		30 June, 2024	30 June, 2023
Revenue	11.00	7,150,780	2,252,550
Less: Vat		(536,213)	(152,334)
Cost of revenue	12.00	(5,127,015)	(1,523,340)
Gross profit		1,487,552	576,876
Operating expenses		(1,191,393)	(616,012)
General and administrative expenses	13.00	(1,191,393)	(616,012)
Operating income/(loss)		296,158	(39,137)
Other non-operating income/(interest expense)		(220,029)	-
Net profit before tax		76,129	(39,137)
Income tax expenses		(20,936)	(13,515)
Current tax		(20,936)	(13,515)
Net profit after tax		55,194	(52,652)
Other comprehensive income		-	-
Total comprehensive profit/(loss)		55,194	(52,652)

The accounting policies and other notes form an integral part of the financial statements.

Chairman

Managing Director

This is the Statement of Profit or Loss and Other Comprehensive Income referred to in our report of even date.

EFG Engineers Limited
Statement of Changes in Equity
for the year ended 30 June 2024

Particulars	Amounts in BDT		
	Share capital	Retained Earnings	Total
Balance as at 01 July, 2022	910,000	(314,376)	595,624
Addition during the year	-	-	-
Net profit/(loss) during the year	-	(52,652)	(52,652)
Balance as at 30 June, 2023	910,000	(367,028)	542,972

Particulars	Amounts in BDT		
	Share capital	Retained Earnings	Total
Balance as at 01 July, 2023	910,000	(367,028)	542,972
Addition during the year	-	-	-
Net profit/(loss) during the year	-	55,194	55,194
Balance as at 30 June, 2024	910,000	(311,834)	598,166

The accompanying notes form an integral part of this financial statements.

Chairman

Managing Director

This is the Statement of Changes in Equity referred to in our report of even date.

EFG Engineers Limited
Statement of Cash Flows
for the year ended 30 June 2024

Particulars	Notes	Amounts in BDT	
		30 June, 2024	30 June, 2023
A. Cash Flows from Operating Activities:			
Net profit after tax		55,194	(52,652)
Add: adjustments for			
Depreciation on PPE		4,905	2,841
		4,905	2,841
(Increase) / Decrease in working Capital Components :			
Advance, deposit and prepayment		(759,600)	(205,253)
Inventories		(284,384)	-
Accounts Trade Receivable - Client As from#		-	312,529
Bank Loan CC		1,878,140	
Accounts & other Trade Payable - Vendor A		(199,104)	(69,295)
Provision for expenses		7,420	19,329
		642,472	57,311
Cash generated from operations		647,377	60,152
Income tax Paid		-	-
Net cash flows from operating activities		702,571	7,500
B. Cash Flows from Investing Activities:			
Purchase of property, plant and equipments		-	-
Net cash used in Investing Activities		-	-
C. Cash flows from Financing Activities:			
Issue of share capital		-	-
Net cash flows from financing activities		-	-
Net increase/ (decrease) in Cash and Cash Equivalents		702,571	7,500
Opening Cash and Cash Equivalents		(132,152)	(139,652)
Closing Cash and Cash Equivalents		570,419	(132,152)
Represented by:		805,109	102,538
Cash in hand		744,317	102,033
Cash at bank	6.00	60,792	504

The accompanying notes form an integral part of this financial statements.

Chairman

Managing Director

EFG Engineers Limited
Notes to the Financial Statements
as at and for the year ended 30 June 2024

1.00 Background of the Company:

0.92 Company background:

EFG Civil Engineers Limited is a private limited company incorporated in South Asia on under the Companies Act 1994 vide Registration No.C-144087/2018.

0.93 Head office:

The address of the company's registered office at

0.94 Nature of business:

To set upbuilding Construction, Road Construction, Bridge Construction and Construction related all works, and to carry on the Business all other still structure Fabrication Building, Shipyard & Dockyard, Rivers Dredging Works, Power plants for generation of electricity and to sell generated power to any legal entity in South Asia, to acquire fuel required for such power generation from home and abroad and for that purpose to acquire land by purchase, lease or otherwise and to build, erect, install, maintain, reservoirs and any other storing facilities, subject to obtaining permission from the concern authority where necessary. To own, possess, acquire, construct, establish, install tanks and maintain roads, Railways, Landing grounds, Properties and Buildings Developments Jetties, Bridges, Fly Over bridges, Moorings, Pipes, Pipe lines, Telegraph, Telephone, Wireless, Gas works, Steam works. Lights, Lamps and any other electrical lights.

2.00 Significant accounting policy:

2.01 Basis of accounting:

The title and format of these financial statements follow the requirements of IFRS which is slightly different from the requirement of the Companies Act, 1994; however, such differences are not material and in the view of management, IFRS format as mentioned in IAS 1 gives a better presentation to the shareholders.

2.01.1 Accounting convention & assumption:

The financial statements are prepared under the historical cost convention.

2.01.2 Statement of compliance:

These financial statements except statement of cash flows have been prepared on accrual basis under historical cost convention in accordance with the requirements of International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), the Companies Act, 1994 and other applicable laws and regulations in South Asia.

2.01.3 Critical accounting estimates, assumptions & judgments:

The preparation of the financial statements are in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Company's accounting policies.

2.01.4 Other regulatory compliances:

i) The Companies Act, 1994 ii) The Income Tax Ordinance, 1984 iii) The Income Tax Rules, 1984 iv) The Value Added Tax and Supplementary Duty Act, 2012 v) The Value Added Tax and Supplementary Duty Rules 2016.

2.01.5 Components of financial statements:

According to International Accounting Standard IAS-1, 'Presentation of Financial Statements' the complete set of Financial Statements includes the following components:

i) Statement of Financial Position, ii) Statement of Profit or Loss and Other Comprehensive Income, iii) Statement of Changes in Equity, iv) Statement of Cash Flows and v) Accounting policies & explanatory information.

2.01.6 Off setting:

"In compliance to IAS-1 and IAS-32, offsetting is done for a particular vendor or customer when the following conditions are met:

- Each of the two parties owes the other determinable amounts;
- The entity has the right to set off against the amount owed by other party;
- The entity intends to offset;
- The right of setoff is legally enforceable."

2.01.7 Going concern assumptions:

As per IAS 1, a Company is required to make assessment at the end of each year to assess its capability to continue as going concern. Management of the Company makes such assessment each year. The Company has adequate resources to continue in operation for the foreseeable future and has wide coverage of its liabilities. For this reason the management continue to adopt the going concern assumption while preparing the financial statements.

2.02 Foreign currency translation:

2.02.1 Functional and presentation currency:

As a South Asian registered Company, the Company prepared financial statements in South Asia Taka (BDT).

2.02.2 Transaction and balances:

Foreign currency transactions are translated into South Asia Taka at the rates ruling on the transaction dates. Monetary assets and liabilities other than share capital of the Company at the reporting date are reconverted at the rates prevailing on that date. Differences arising on conversion are charged or credited to statement of comprehensive income.

2.03 Property, plant and equipment:

Property, plant and equipment are recognized at cost of acquisition less accumulated depreciation in compliance with of IAS 16 "Property, Plant and Equipment". Cost represents the purchase price of the assets and other costs incurred in bringing the assets to their existing location and condition.

2.03.1 Depreciation:

Consistently, depreciation is provided on diminishing balance method based on written down value at which the asset is carried in the books of account. Depreciation continues to be provided until such time as the written down value is reduced to Taka one.

Each item of PPE is depreciated from the date in which the asset comes into use or capitalized. In case of disposals, no depreciation is charged in the month of disposal.

The depreciation/amortization rate(s) are as follows:

<u>Asset category</u>	<u>Rate</u>
IT & Electrical Equipment	14%

Gain/losses on disposal:

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the asset and is recognized in the income statement.

Impairment:

The carrying value of the property, plant and equipment is reviewed for impairment when events or changes in circumstances indicate the carrying value may not be recoverable. If any such indication exists and where the carrying value exceeds the estimated recoverable amount, the assets are written down to their recoverable amounts. Impairment losses are recognised in the Statement of Comprehensive Income unless it reverses a previous revaluation surplus for the same asset.

2.04 Cash & cash equivalents:

Cash & cash equivalents include cash in hand, cash at banks, term deposits which are available for use by the Company without any restrictions. There is an insignificant risk of change in value of the same.

2.05 Liabilities, provisions and disclosures:

All known liabilities accrued against goods and services received by the company from its suppliers up to 30 June, 2024 by the Company up to that date have been duly incorporated and provided for in the enclosed financial statements. There are no other material liabilities or gains or loss contingencies that are required to be accrued or disclosed, other than those accrued or disclosed in the financial statements, nor are there any accruals for loss contingencies included in the statement of financial position that are not in conformity with the Company's existing practices.

2.05.1 Trade and other Trade Payable - Vendor As:

Liabilities are recognized for the goods and services as and when those are received.

2.05.2 Accrued expenses:

Accrued expenses are provided for and recognized in the financial statements based on goods received or service provided by third parties.

1.87 Revenue recognition:

IFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing recognition guidance. Revenue is measured based on the consideration specified in the contract with a customer and excludes amounts collected on behalf of third parties. Revenue is recognised when service rendered to the customers as performance obligation is satisfied as per IFRS 15: Revenue from Contracts with Customers.

1.88 Income tax:**2.07.1 Current tax:**

The Company is assessed for South Asia income tax primarily under the provisions of The Income Tax Ordinance, 1984.

2.08 Statements of cash flows:

Statement of Cash Flows is prepared principally in accordance with IAS-7: Cash Flow Statements and the cash flows from operating activities have been presented under indirect method.

2.09 Statement of changes in equity:

The Statement of Changes in Equity reflects information about the increase or decrease in net assets or wealth.

2.10 Related party disclosure:

As per International Accounting Standard-24 parties are considered to be related if one of the party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. The Company carried out transactions in the ordinary course of business at an arm's length basis at commercial rates with related parties. Related party disclosures have been provided in the financial statements.

2.11 Events after reporting period:

There is no significant event after the reporting period that might require adjustment or disclosure in the Financial Statements.

2.12 Reporting period:

The reporting period of the Company covers from 01 July, 2023 to 30 June, 2024.

2.13 General

Figures have been rounded off to the nearest Taka.

Notes	Particulars	Amount in BDT	
		30 June, 2024	30 June, 2023
2.73	Property, plant & equipment:		
	Cost:		
	Opening balance	40,950	40,950
	Add: Addition during the year	-	-
	Closing balance	40,950	40,950
	Depreciation:		
	Opening balance	5,912	3,071
	Add: Addition during the year	4,905	2,841
	Closing balance	10,817	5,912
	Written down value	30,133	35,038
	Details are given in annexure-A with the report.		
4.00	Inventories		
	Closing Stock	284,384	-
		284,384	-
5.00	Advance, deposit and prepayment		
	Deferred Expenses	-	-
	Preliminary Expenses	-	-
	Security Money	540,380	-
	Bank Guarantee	90,653	90,653
	AIT	333,820	114,600
		964,853	205,253
6.00	Cash & cash equivalents		
	Cash in hand	744,317	102,033
	Cash at bank (Note: 6.01)	60,792	504
		805,109	102,538
6.01	Cash at bank		
	BANK #A	56,571	504
	bANK #B	4,221	-
		60,792	504
7.00	Share capital		
	Authorized capital:		
	500,000 ordinary shares @ Tk. 100 each	50,000,000	50,000,000
	Issued, subscribed and paid up capital:		
	10,000 ordinary shares of Tk. 100 each fully paid-up	1,000,000	1,000,000

Notes	Particulars	Amount in BDT	
		30 June, 2024	30 June, 2023
8.00	Retained earnings		
	Opening balance	(367,028)	(314,376)
	Add: Net profit during the year	55,194	(52,652)
		(311,834)	(367,028)
	Less: Transfer to general reserve during the year	-	-
		(311,834)	(367,028)
9.00	Accounts & other Trade Payable - Vendor A		
	Liabilities For Expense	69,014	268,118
		69,014	268,118
10.00	Provision for expenses		
	Opening balance	48,398	29,069
	Add: Addition made during the year	55,819	48,398
	Less: Paid during the year	(48,398)	(29,069)
		55,819	48,398

Notes	Particulars	Amounts in BDT	
		30 June, 2024	30 June, 2023
11.00	Revenue		
	Revenue from Joint Venture Agreement	-	221,430
	Revenue - Contract Work	7,150,780	2,031,120
		7,150,780	2,252,550
12.00	Cost of Revenue		
	Opening Stock	-	-
	Product, Contract Work & Service	3,632,121	1,523,340
	Daily Labour charge	468,878	-
	Salary and Wages	1,310,400	-
	Less :Closing Stock	(284,384)	-
		5,127,015	1,523,340
13.00	General & administrative expenses		
	Salary & Allowances	960,000	320,784
	Office Rent	72,000	72,000
	Service charge	9,600	7,200
	Stationery Expenses	10,939	7,697
	Miscellaneous	6,869	7,554
	Audit fees	34,883	34,883
	Conveyance	15,969	15,038
	Entertainment	6,869	9,293
	Mobile Bill	14,971	12,968
	Utility bill	15,969	7,958
	Renewal & Registration	17,267	17,066
	Internet bill	10,920	10,920
	E-GP Schedule purchased	-	18,867
	Bank Charges	10,233	70,944
	Depreciation	4,905	2,841
		1,191,393	616,012

<u>Notes</u>	<u>Particulars</u>
14.00	Payment made in Foreign Currency: No expenses including Royalty, Technical Experts & Professional Advisory Fees and Interest etc. were incurred or paid in foreign currencies during the financial year.
15.00	Finance Lease Commitment: As at 30-06-2024, there was no lease commitment under finance lease.
16.00	Claim not Acknowledged as debt: There was no claim against the company acknowledged as debt as on 30 June, 2024.
17.00	Related party disclosure: During the period the Company are not carried out a any transactions with related parties in the normal course of business.
18.00	Audit Fees: Auditors remuneration comprises audit fees only.
19.00	Un-availed Credit Facilities: There are no credit facilities available to the Company under any contract (other than credit available in ordinary course of business) at the Statement of Financial Position date .
20.00	Internal Control: The following steps have been taken for implementation of an effective internal control procedure of the Company: a. A strong internal control and compliance division has been formed with a view to establish a well designated system of internal control; b. Regular review of internal audit reports with a view to implement the suggestion of internal auditors in respect of internal control technique; c. To establish an effective management system that includes planning, organizing and supervising culture in the factory as well as at head office.
21.00	Segment Reporting: As there is single business and geographic segment within the Company operates as such no segment reporting is felt necessary.
22.00	Event after reporting date: Since the reporting date there has been no material events affecting the financial statements that requires disclosure or adjustment.
23.00	Contingent liability/assets and capital expenditure commitment: The Company has no capital expenditure commitment as on 30 June 2024.
24.00	General:
24.01	Directors' remuneration for attending board meeting: No Board meeting attendance fee was paid by the Company.

Director

Managing Director

EFG Engineers Limited
Schedule of property, plant & equipment
for the year ended 30 June 2024

Annexure-A

Amounts in BDT

Particulars	Cost				Depreciation					Written down value
	Opening balance	<u>Addition during the year</u>	Disposal during the year	Closing balance	Rate (%)	Opening balance	Charged during the year	Adjustment during the year	Closing balance	
IT & Electrical Equipment	40,950	-	-	40,950	14%	5,912	4,905	-	10,817	30,133
as at 30 June 2024	40,950	-	-	40,950		5,912	4,905	-	10,817	30,133

as at 30 June 2023	40,950	-	-	40,950		3,071	2,841	-	5,912	35,038
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